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# e-MANUAL

# Importance of Agriculture Lending

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## Importance of Agriculture lending

**Features of Indian Agriculture:**

History of Agriculture in India dates to Indus Valley civilisation. World-wide, India ranks second in farm output. Agriculture serves as the backbone of India's economy, playing a pivotal role in ensuring food security, providing employment, and contributing to overall economic development. It supports the livelihoods of a significant portion of the population and remains vital to India's socio-economic fabric. The main features are as under

1. In the fiscal year 2023-24, agriculture and allied sectors contributed approximately 16% to India's Gross Domestic Product (GDP). For the fiscal year 2022-23, the sector contributed around 18.4% to India's Gross Value Added (GVA) at current prices. The workforce engaged in agriculture and allied sectors in recent periods is estimated to be around 45-46% of the total workforce.
2. As per recent data (primarily from the National Statistical Office - NSO and the Economic Survey 2024-25):
    - The rural population of India is now estimated to be around 65% of the total population.
    - While a significant portion of the rural population depends on agriculture, the exact overwhelming majority figure is dynamic. Recent data indicates that the dependence on agriculture as the primary source of income in rural areas is closer to 45-55%. This indicates a diversification of income sources in rural India.
3. The average farm size is becoming smaller year after year and the cost – risk – return structure of the farming is becoming adverse, with the result that farmers are getting increasingly indebted, true to the saying that an Indian farmer is born in debt, lives in debt and dies in debt.
4. Provision of agricultural credit is closely linked with the ability of farmers to transform traditional agriculture into High technology Agriculture, to affect a transition of agriculture being a way of life to a remunerative and rewarding business proposition.
5. Lending to agriculture should be looked as a profitable business proposition than a social obligation.

**Issues under Indian Agriculture:**

Understanding the challenges inherent in Indian agriculture is crucial for comprehending the complexities of agricultural financing. Key characteristics and associated problems include:

**1. Rural Infrastructure Deficiencies:**

While significant progress has been made, a substantial number of India's villages (estimated to be over 600,000) still face deficits in essential infrastructure such as reliable all-weather roads, access to safe drinking water, consistent electricity supply, adequate primary healthcare

facilities, and quality basic education. This impacts access to markets, information, and overall economic opportunities, including financial services.

**2. Significant Rural Population Dependent on Agriculture:**

Approximately **65% of India's population resides in rural areas**, and while the direct dependence on agriculture as the primary source of income is diversifying, it remains a major occupation for an estimated **45-55% of rural households**. *This large dependence creates pressure on land resources and necessitates robust financial support for agricultural activities.*

**3. Farmer Distress and Indebtedness:**

The issue of farmer suicides, often linked to a vicious cycle of debt, crop failure (due to climate vulnerability, pest attacks, etc.), and market fluctuations, remains a serious concern. While comprehensive, real-time national data on suicides can be challenging to obtain, reports from various states and agricultural organizations continue to highlight this tragedy. This underscores the need for effective risk mitigation strategies, income support, and accessible, affordable credit to prevent and alleviate debt burdens.

A significant proportion of Indian farmers continue to face indebtedness. While precise, nationwide figures for the current year are evolving, various studies and reports suggest that a substantial percentage of agricultural households are under debt. This limits their capacity for investment and can make them vulnerable to exploitative lending practices.

**4. Income and Expenditure Disparity:**

Data from recent periods indicates a persistent challenge where the growth in farmers' income often lags behind the increase in their expenditure on inputs, living costs, and other necessities. While government initiatives aim to double farmers' income, the income growth rate needs to significantly outpace expenditure growth to improve their financial well-being. This necessitates strategies to enhance productivity, improve market access, and potentially manage input costs.

**5. Fragmented Land Holdings:**

The average land holding size remains small, at around 1.08 hectares.

A significant majority, around 86%, of farmers are classified as small and marginal farmers (owning less than 2 hectares of land).

Furthermore, approximately 68% of agricultural land holdings are less than 1 hectare. These small and fragmented holdings often limit the adoption of modern technologies, economies of scale, and access to formal credit.

**6. Poverty Levels:**

While poverty rates have declined, a significant portion of the population still lives below the poverty line (BPL). Rural poverty continues to be a significant concern. Poverty limits farmers' ability to invest in their farms and increases their vulnerability to financial shocks.

**7. Low Agricultural Productivity:**

Despite advancements, the productivity of many crops in India remains lower compared to global averages. Factors contributing to this include reliance on outdated farming practices, inadequate irrigation in many areas, limited adoption of modern technologies and quality inputs, and insufficient soil health management. Low productivity directly impacts farmers' income and their ability to repay loans.

**8. Agro-Climatic Diversity and Vulnerability:**

India exhibits vast diversity in agro-climatic conditions, making it susceptible to regional variations in agricultural performance.

Excessive dependence on the monsoon and vulnerability to natural calamities like droughts, floods, and unseasonal rainfall pose significant risks to crop production and farmers' livelihoods. This unpredictability increases the risk associated with agricultural lending.

**9. Disguised Unemployment:**

The agricultural sector often experiences disguised unemployment or underemployment, where more people are engaged in farming than are actually needed. This leads to lower per-capita productivity and income. This can strain household finances and impact repayment capacity.

**10. Inadequate Access to Low-Cost Credit:**

Despite efforts to expand institutional credit, the availability of timely and affordable credit for all farmers, especially small and marginal ones, remains a challenge. Many farmers still rely on informal sources of credit with high-interest rates.

**11. Institutional vs. Non-Institutional Credit:**

While institutional sources have increased their share, a significant portion of agricultural credit needs are still met by non-institutional sources (like moneylenders). However, the trend indicates a gradual shift towards institutional credit, but the gap persists, particularly for small and marginal farmers. Reliance on non-institutional sources often leads to higher debt burdens and exploitation.

**12. Coverage of Small and Marginal Farmers by Formal Institutions:**

Data indicates that a considerable portion of small and marginal farmers still lack access to formal banking credit. However, financial inclusion efforts are ongoing to improve this coverage. This limited access hinders their ability to invest in better farming practices and manage risks.

**13. Sub-optimal Credit to Allied Agricultural Activities:**

Sectors like livestock, forestry, and fisheries contribute significantly to agricultural output and rural livelihoods. However, the flow of institutional credit to these allied activities often remains disproportionately low compared to their economic contribution. This limits the growth potential of these important sub-sectors.

**14. Regional Disparities in Agricultural Credit:**

The distribution of agricultural credit across different regions of India is often uneven and not always aligned with the regions' share in agricultural output. Some regions may have better access to banking infrastructure and credit facilities than others. This creates imbalances in agricultural development across the country.

**15. Shortage of Agricultural Laborers:**

In certain regions and during peak seasons, there can be an acute shortage of agricultural laborers due to factors like migration to urban areas and changing employment preferences. This can increase labor costs and affect farming operations. This can impact the profitability of agriculture and the repayment capacity of farmers.

**Importance of Agriculture:**

Based on the latest data and the foundational principles of the Indian economy, here are the key takeaways for the E-manual regarding the sector's vital role and the path forward:

**Foundation of Economic Growth:** The GDP of India can only achieve sustained high growth if the agriculture sector "contributes its mite." It acts as the primary supplier of raw materials and the biggest driver of rural consumer demand.

**The Critical Failure Point:** There is a fundamental truth in the saying that "if agriculture goes wrong, nothing else will have a chance to go right." A failure in this sector triggers food inflation, reduces industrial demand, and threatens social stability.

**Feeding the Future:** With India's population now estimated at 142 crores (surpassing the 137 crore estimate for 2025), the nation requires approximately 400 million tonnes of food grains to ensure total food security.

**The Sustainability Mandate:** To meet rising demand without depleting natural resources, agricultural development must be planned on a sustainable basis, balancing high yields with soil and water conservation.

**Smallholder Dominance:** India manages over 100 million operational holdings, where a staggering 86% of farmers are categorized as small and marginal (owning less than 2 hectares).

**Need for Scale-Neutral Technology:** It is essential to evolve and deploy technologies such as micro-irrigation and precision farming that specifically increase the productivity of small holdings while maintaining ecological balance.

**Economic Safety Net**: During global economic shifts, agriculture remains the most resilient sector, providing a "safety net" for nearly 46.1% of the workforce.

**Pillar of Financial Inclusion:** For banks, agriculture is the gateway to financial inclusion; serving the 86% marginal farmer base is a regulatory priority and a massive opportunity for micro-credit penetration.

**Shift to Value-Added Agriculture: Prosperity** is increasingly found in allied sectors (Dairy, Poultry, Fisheries), which provide farmers with year-round cash flow and reduce dependence on seasonal harvests.

**Infrastructure as a De-risker:** Investing in post-harvest infrastructure (cold storages and warehouses) is the only way to mitigate food inflation volatility and ensure farmers get a fair price for their produce.

**Initiatives of GoI:**

a) The three parameters required for growth of the country are, Agriculture, industry and services
b) Hence, the RBI has stipulated a benchmark of 40% of Adjusted Net Banking Credit (ANBC) towards priority sector advances
c) RBI has given its due importance to agriculture and has stipulated a benchmark of 18% of ANBC towards Total Agriculture. Within this target, 14 percent is prescribed for Non-corporate Farmers, out of which a target of 10 percent is prescribed for Small & Marginal Farmers.
d) Non-achievement of benchmarks leads to penalise the Banks by way of investment in Rural Infrastructure Development Fund (RIDF) of NABARD
e) RIDF carries very low Rate of Interest and leads to decrease in profits of the Bank
f) The Rate of Interest (RoI) on RIDF is inversely proportional to the gap between the actual and targets
g) GDP from agriculture has drastically reduced by around 50% during the period of three decades, the trend which must be reversed.
h) Hence now, it is often said that India needs a **"Second Green Revolution"**
**i)** But what is really required now is **"Agricultural Boom"** like **"IT or BT boom"** and **"Ever green revolution"**

**1. Digital Public Infrastructure (DPI)**

AgriStack: A centralized digital foundation consisting of three registries: the Farmer Registry (over 8.4 crore IDs generated), Geo-Referenced Village Maps, and the Crop Sown Registry. This allows banks to verify land and crop data instantly for faster loan processing.

**Digital Crop Survey (DCS):** Conducted in 604 districts covering 28.5 crore plots, providing real-time, plot-level visibility of crops to support evidence-based planning and insurance claims.

**Bharat-VISTAAR:** A newly proposed multilingual AI platform that integrates AgriStack with ICAR's research to provide farmers with customized, real-time advisory on weather and productivity.

**2. Income & Price Support**

**PM-KISAN:** Continues to provide direct income support of ₹6,000 per year to over 11 crore farmers, acting as a crucial liquidity buffer for smallholders.

**PM-AASHA:** The Pradhan Mantri Annadata Aay SanraksHan Abhiyan has been strengthened to ensure remunerative prices through large-scale procurement of pulses, oilseeds, and copra.

**Dalhan Aatmanirbharta Mission:** A dedicated mission with an outlay of ₹11,440 crore to make India self-reliant in pulses (Tur, Urad, and Masoor) by 2030-31 through assured procurement.

**National Mission on High-Yielding Seeds:** Announced in the 2025-26 Budget, this mission focuses on over 100 new climate-resilient varieties to bridge the yield gaps mentioned earlier.

**3. Infrastructure & Technology**

**Agriculture Infrastructure Fund (AIF):** Provides a 3% interest subvention on loans up to ₹2 crore for post-harvest projects like cold storages, warehouses, and primary processing centers.

**Namo Drone Didi:** Aimed at providing 15,000 drones to Women Self-Help Groups (SHGs) to modernize pesticide spraying and crop monitoring while creating new rural livelihoods.

**Per Drop More Crop (PDMC):** Offers a 55% financial subsidy for small and marginal farmers to install drip and sprinkler irrigation systems, significantly reducing water and fertilizer costs.
**PM Dhan-Dhaanya Krishi Yojana**: A new flagship program covering 100 districts with low productivity and credit saturation. It provides 100% funding for rural infra and prioritizes long-term credit for 1.7 crore farmers.

**4. High-Value & Allied Sectors**
**Horticulture & Exotic Crops**: New dedicated programs for the rejuvenation of old orchards and the expansion of high-density cultivation for almonds, walnuts, and cocoa.

**Livestock & Fisheries**: Introduction of loan-linked capital subsidies for private veterinary hospitals and diagnostic labs to support the rapidly growing dairy and aquaculture sectors.

**Natural Farming:** Promotion of chemical-free farming through the National Mission on Natural Farming (NMNF) to restore soil health and reduce input costs.

**Coconut & High-Value Crop Missions:** The 2026 Budget introduced dedicated promotion schemes for Coconut, Cocoa, Cashew, and Nut crops (Almonds/Walnuts) to help farmers move away from low-margin staples to high-value global exports.

**Support for Allied Sectors:** Strengthening the **PM Matsya Sampada Yojana** (for fisheries) and providing **KCC for Livestock** to ensure that farmers have a "365-day income stream" rather than waiting for seasonal harvests.

**Union Budget**
The Big Leap: The budget for the Department of Agriculture and Farmers' Welfare has grown from ₹21,933 crore in 2013–14 to an impressive ₹1,30,561 crore in 2026–27.

Total Ministry Impact: When including the Department of Agricultural Research and Education (DARE), the total Ministry of Agriculture allocation for 2026-27 stands at ₹1,40,529 crore.

Historical Context: This represents nearly a 6-fold increase in funding over the last 13 years, underscoring agriculture's role as the foundation of a Viksit Bharat.

| Scheme Name | Allocation (2026-27 BE) | Impact on Banking/Farmers |
|---|---|---|
| **PM-KISAN** | **₹63,500 Crore** | Direct liquidity for farmers; supports timely loan repayments. |
| **Interest Subvention (MISS)** | **₹22,600 Crore** | Keeps agricultural credit affordable for KCC holders. |
| **Crop Insurance (PMFBY)** | **₹12,200 Crore** | Major risk-mitigant for bank portfolios against climate shocks. |
| **Krishionnati Yojana** | **₹11,200 Crore** | Focuses on food security missions and horticulture expansion. |
| **RKVY** | **₹8,550 Crore** | Supports state-specific holistic agricultural development. |
| **PM-AASHA** | **₹7,200 Crore** | Assured procurement of pulses and oilseeds (Price Support). |
| **Namo Drone Didi** | **₹677 Crore** | A **576% increase** from previous years to fund agri-tech. |

Below are the key reasons why Agri lending is vital and how it benefits your bank:

**1. Diversification and Risk Resilience**

The agricultural sector often operates on a different economic cycle than urban industries. While urban markets might face volatility due to global service-sector trends, the domestic demand for food and agri-products remains constant. For a bank, having a robust agri-portfolio provides sectoral diversification, protecting the overall balance sheet from shocks in the corporate or retail sectors. With the rise of climate-resilient crops and PM-Fasal Bima Yojana, the inherent risks of farming are now significantly mitigated, making it a more stable lending environment.

**2. High-Growth Opportunities in Allied Sectors**

As highlighted in the Economic Survey 2025-26, the real "boom" is happening in allied activities like Dairy, Fisheries, and Horticulture, which are growing at a CAGR of 8% to 12%. These sectors provide farmers with daily or weekly cash flows, unlike traditional crops which only pay out twice a year. For banks, this means:

Better Liquidity Management: Borrowers have a steady income to service monthly interest.

Lower NPA Risk: Diversified income streams (e.g., a farmer with both a wheat field and a dairy unit) are much more resilient to loan defaults.

**3. Lower Cost of Acquisition via Digital Public Infrastructure (DPI)**

The launch of AgriStack and the Digital Crop Survey has revolutionized the "cost of doing business" for rural branches.

Instant Verification: Bank staff can now use digital registries to verify land records and crop patterns in seconds, eliminating expensive and time-consuming physical field visits for every small loan.

Data-Driven Lending: AI tools like Bharat-VISTAAR provide banks with "Predictive Credit Analytics," allowing them to identify high-potential borrowers and pre-approve loans with higher precision.

4. Regulatory Compliance and Profitability
Lending to agriculture is the primary way banks meet their Priority Sector Lending (PSL) targets (18% of ANBC).

Avoiding Penalties: Meeting these targets saves the bank from having to invest in low-yield RIDF deposits with NABARD, which effectively act as a "tax" on missed targets.

Interest Subvention Benefits: Through the Modified Interest Subvention Scheme (MISS), the government compensates banks for the gap between the concessional rate (4%–7%) and the market rate, ensuring that the bank's margins are protected while the farmer gets affordable credit.

5. Priority Sector Lending Certificates (PSLCs): A New Revenue Stream
PSLCs are a market-based mechanism that allows banks to trade their "PSL achievement" without transferring the underlying loan assets or risks.

How it works: If your branch or bank exceeds the 18% Agriculture target, you can sell the "surplus" as certificates to banks that have a shortfall (like foreign or private banks with limited rural reach).

Increasing Non-Interest Income (Fee Income):

Direct Fee Generation: When the bank sells PSLCs, the buyer pays a premium (fee). This entire premium is credited as other income (non-interest income).

No Risk Transfer: The loans remain on your books. You continue to earn the interest from the farmer, while the PSLC sale provides a "bonus" fee income on top.

High Value for Sub-targets: Certificates for Small & Marginal Farmers (PSLC-SF/MF) and Agriculture (PSLC-Agri) often command the highest premiums in the market due to their scarcity.

Efficiency Reward: Your branch's hard work in the field is effectively "monetized" through these premiums, directly boosting the bank's bottom line.

Every rupee lent to a farmer earns us interest and saves us from a low-yield RIDF penalty. If we exceed the target, we further boost our profits by selling PSLCs to our competitors.

5. Building Lifetime Customer Value (LCV)
Agriculture is often the entry point for a rural household into formal banking. By providing a timely Kisan Credit Card (KCC) or an Agri-Infrastructure loan, the bank secures a loyal customer for life. This opens up massive cross-selling opportunities for:

Savings accounts and Fixed Deposits (as rural wealth grows).

Personal and vehicle loans.

Insurance products (Life, Health, and Tractor insurance).

## Role of our Bank:

- ✓ For agriculture to be successful, many inputs are required.
- ✓ They are quality seeds, fertilizers, pesticides, good management, adequate & well distributed rainfall OR availability of adequate irrigation facilities etc.
- ✓ In addition to the above, one of the important inputs for agriculture is the availability of financial assistance from formal financing institutions at the right time. Here the role of Bankers is very important.
- ✓ Lending to agriculture can be in rural, semi urban, urban and in metro areas.
- ✓ Lot of scope and potentiality lies at all places and these must be identified and capitalised particularly for investment credit.
- ✓ Our Bank's market share in agriculture advances as against peer banks must be studied periodically and strategies are to be put in place to improve agricultural lending.
- ✓ Agricultural Focussed branches can contribute a lot for achieving the benchmarks under agriculture.
- ✓ It is hoped that the guidelines in the coming chapters will be useful to the field functionaries to improve Agricultural lending in their respective command areas.

Conclusion

Farmers are the **backbone** of India's agriculture sector, providing **sustenance** to the nation. Progressive reforms, **technological advancements**, and strong government initiatives have driven significant **growth** and improved **efficiency**. Government has introduced a **comprehensive** and **future- ready** approach, focusing on **financial inclusion**, **climate-smart agriculture**, and **modern infrastructure** to make farmers **self-reliant**, **empowered**, and **prosperous**. India's journey from food security to farmer prosperity is well underway, rooted in vision, nurtured by action, and driven by the dreams of its Annadatas.

**Disclaimer:** Every care has been taken to give up-to-date information based on the RBI and Bank's guidelines. However, users are advised to go through banks circulars and guidelines for details.


हम वही हैं
We shall continue to serve you with
same excellence, same commitment because
OUR RELATIONSHIPS ARE LIFELONG

